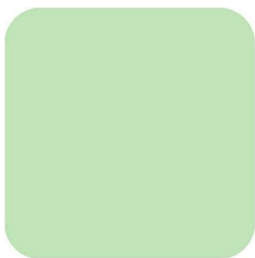


AGARAPATANA PLANTATIONS PLC

Company No. PQ 00287376

CONSOLIDATED INTERIM FINANCIAL STATEMENTS
FOR THE 9 MONTHS ENDED
31ST DECEMBER 2024



9 Months Performance Review of Agarapatana Plantations PLC (APPLC) - Financial Year 2024/25

APPLC has recorded a stable and strong performance during the 9 months of the financial year 2024/25 achieving a profit before tax of Rs. 925 Mn. This is an improvement of 266% compared to the corresponding period of the last year. The Group performance for the 9 months was a profit before tax of Rs. 959 Mn which includes a profit before tax of Rs. 49 Mn achieved by its fully owned subsidiary, Waverly Power (Private) Ltd against a profit of Rs. 11 Mn in the previous year with the improvements made to the Hydro Power Plant.

Owing to adverse weather conditions, the country's high grown sector production was affected and the Company's production too impacted by almost 0.5 Mn kgs, compared to last year. However, the company was able to increase the revenue by Rs. 203 Mn compared to the previous period, as a result of the increase in the Net Sale Average of the Company.

The net finance cost reduced significantly by Rs. 128 Mn mainly due to the reduction in borrowings and the reduction in market lending rates. There was also an increase in interest income from term deposits.

The notable improvement in the balance sheet is due to the significant decrease in the total liabilities of Rs.563 Mn.

The Working Capital also reflected slight improvement with Current ratio of 1.47 against 1.44 compared to the last financial year ended 31st March 2024.

With the improved performance of the Company, the Net Assets per share has increased to Rs. 9.24 from Rs. 8.35 recorded in the last financial year.

Future Outlook

The Company continues to be focused in maintaining a strong bottom line performance despite the challenges faced by the industry.

To mitigate the recent increase in wages and the dearth of workers, the Company has already commenced mechanization including harvesting and field operations along with automation in the processing Centers. The Company is also investing in renewable energy with Hydro/Solar Power.

The Company is also committed to the development of Human Capital in terms of training & development, providing opportunities to enhance worker earnings including compliance with Social Capital together with Regulatory compliances & Corporate Governance.

AGARAPATANA PLANTATIONS PLC
STATEMENT OF COMPREHENSIVE INCOME

Group	Quarter ended		Change + / (-)	For the Nine Months ended		Change + / (-)
	31/12/2024 Rs. '000	31/12/2023 Rs. '000		31/12/2024 Rs. '000	31/12/2023 Rs. '000	
Revenue	1,750,421	1,541,999	208,422	5,632,953	5,421,419	211,534
Cost of Sales	(1,487,522)	(1,446,156)	(41,366)	(4,465,452)	(4,861,593)	396,141
Gross Profit	262,898	95,843	167,055	1,167,500	559,826	607,674
Gains on Change in Fair Value of Biological Assets	15,235	22,343	(7,108)	45,701	67,028	(21,327)
Other Operating Income	34,241	49,532	(15,291)	94,992	82,775	12,217
Selling & Distribution Expenses	(30,000)	-	(30,000)	(80,000)	-	(80,000)
Administrative Expenses	(87,076)	(104,038)	16,962	(257,248)	(293,411)	36,163
Net Finance Income/ (Cost)	3,063	(22,952)	26,015	(11,256)	(151,199)	139,943
Profit before Income Tax Expense	198,362	40,728	157,634	959,690	265,020	694,670
Income Tax Expense	(6,848)	(2,607)	(4,241)	(20,174)	(2,607)	(17,567)
Net Profit for the Period	191,513	38,121	153,392	939,515	262,413	677,102
Other Comprehensive Income						
Net Gain/ Loss on Financial Assets at Fair Value Through OCI, Net of Tax	1,560	(390)	1,950	3,510	(390)	3,900
Other Comprehensive Income for the Period, Net of Tax	1,560	(390)	1,950	3,510	(390)	3,900
Total Comprehensive Income for the Period, Net of Tax	193,073	37,731	155,342	943,025	262,023	681,002
Profit Attributable to :						
Equity Holders of the Parent	191,513	38,121	153,392	939,515	262,413	677,102
Non Controlling Interest	-	-	-	-	-	-
	191,513	38,121	153,392	939,515	262,413	677,102
Total Comprehensive Income Attributable to :						
Equity Holders of the Parent	193,073	37,731	155,342	943,025	262,023	681,002
Non Controlling Interest	-	-	-	-	-	-
	193,073	37,731	155,342	943,025	262,023	681,002
Basic Earnings Per Share	0.38	0.08		1.88	0.52	

Note:
The above figures are not audited.
Figures in brackets indicate deductions.

AGARAPATANA PLANTATIONS PLC
STATEMENT OF COMPREHENSIVE INCOME

Company	Quarter ended		Change + / (-)	For the Nine Months ended		Change + / (-)
	31/12/2024	31/12/2023		31/12/2024	31/12/2023	
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Revenue	1,730,662	1,515,885	214,777	5,577,147	5,373,569	203,578
Cost of Sales	(1,479,681)	(1,440,642)	(39,039)	(4,444,606)	(4,846,387)	401,781
Gross Profit	250,981	75,243	175,738	1,132,541	527,182	605,359
Gain on Change in Fair Value of Biological Assets	15,235	22,343	(7,108)	45,701	67,028	(21,327)
Other Operating Income	51,722	51,506	216	99,104	87,449	11,655
Selling & Distribution Expenses	(30,000)	-	(30,000)	(80,000)	-	(80,000)
Administrative Expenses	(90,094)	(104,750)	14,656	(264,854)	(292,818)	27,964
Net Finance Income/ (Cost)	4,090	(19,519)	23,609	(6,979)	(135,847)	128,868
Profit before Income Tax Expense	201,934	24,823	177,111	925,513	252,994	672,519
Income Tax Expense	-	(2,607)	2,607	-	(2,607)	2,607
Net Profit for the Period	201,934	22,216	179,718	925,513	250,387	675,126
Basic Earnings Per Share	0.40	0.04		1.85	0.50	
Other Comprehensive Income						
Net (Loss)/Gain on Available for Sale Financial Assets Net of Tax	1,560	(390)	1,950	3,510	(390)	3,900
Other Comprehensive Income for the Period, Net of Tax	1,560	(390)	1,950	3,510	(390)	3,900
Total Comprehensive Income for the Period, Net of Tax	203,494	21,826	181,668	929,023	249,997	679,026
Note:						
The above figures are not audited.						
Figures in brackets indicate deductions.						

AGARAPATANA PLANTATIONS PLC
STATEMENT OF FINANCIAL POSITION

As at	Group		Company	
	Un Audited	Audited	Un Audited	Audited
	31.12.2024	31.03.2024	31.12.2024	31.03.2024
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
ASSETS				
Non Current Assets				
Right to Use Assets	133,314	142,681	133,314	142,681
Property, Plant & Equipment	1,802,602	1,810,053	1,717,960	1,715,212
Bearer Biological Assets	2,195,977	2,228,650	2,195,977	2,228,650
Consumable Biological Assets	1,885,954	1,832,487	1,885,954	1,832,487
Investment in Subsidiary	-	-	434,000	434,000
Intangible Asset	338,743	338,743	-	-
Other Non Current Financial Assets	39,832	36,322	5,330	1,820
	6,396,422	6,388,937	6,372,535	6,354,851
Current Assets				
Produce on Bearer Biological Assets	19,546	19,546	19,546	19,546
Inventories	1,133,754	922,075	1,133,754	922,075
Trade & Other Receivables	582,262	767,428	566,165	760,818
Amounts due from Related Companies	526,347	603,071	475,713	555,504
Short Term Investment	702,979	743,251	702,979	743,251
Cash & Bank Balances	43,571	78,798	38,416	68,819
	3,008,460	3,134,171	2,936,573	3,070,014
TOTAL ASSETS	9,404,881	9,523,107	9,309,108	9,424,865
EQUITY AND LIABILITIES				
Equity Attributable to Shareholders				
Stated Capital	2,478,068	2,478,068	2,478,068	2,478,068
Fair Value Reserve of Financial Assets at FVOCI	(180,883)	(184,393)	(178,198)	(181,708)
Revaluation Reserve	723,776	723,776	723,776	723,776
Timber Reserve	1,745,418	1,699,717	1,745,418	1,699,717
Retained Earnings	(147,993)	(544,308)	(130,616)	(510,428)
Total Equity Attributable to Equity Holders	4,618,385	4,172,860	4,638,448	4,209,425
Non Controlling Interest	-	-	-	-
Total Equity	4,618,385	4,172,860	4,638,448	4,209,425
Non Current Liabilities				
Interest Bearing Loans & Borrowings	99,065	262,875	85,661	223,147
Retirement Benefit Obligations	1,529,357	1,791,113	1,529,357	1,791,113
Deferred Income	168,150	174,150	168,150	174,150
Lease Liabilities	121	121	121	121
Deferred Tax Liability	947,961	947,961	890,126	890,126
	2,744,654	3,176,221	2,673,415	3,078,658
Current Liabilities				
Interest Bearing Loans & Borrowings	691,200	716,295	670,644	693,423
Trade & Other Payables	985,853	1,167,733	976,184	1,158,104
Lease Liabilities	2	2	2	2
Amounts due to Related Companies	26,548	30,536	26,248	30,305
Income Tax Payable	14,072	4,511	-	-
Bank Overdraft	324,167	254,949	324,167	254,949
	2,041,841	2,174,026	1,997,245	2,136,783
TOTAL EQUITY AND LIABILITIES	9,404,881	9,523,107	9,309,108	9,424,865
Net Assets Per Share (Rs.)	9.24	8.35	9.28	8.42
The above Figures are not audited. Figures in Bracket indicates the deductions.				
I certify that the financial Statements have been prepared in compliance with the requirements of the companies Act No 07 of 2007.				
Sgd N Fernando Finance Manager				
The Board of Directors is responsible for these Financial Statements. Authorised and signed for and on behalf of the Board of Directors of Agarapatana Plantations PLC.				
Sgd S S Poholiyadde Director				
Sgd K Mohideen Director				
Colombo 11th February 2025				

AGARAPATANA PLANTATIONS PLC
STATEMENT OF CHANGES IN EQUITY

Group	Stated Capital	Revaluation Reserve	Fair Value Reserve of Financial Assets at FVOCI	Timber Reserve	Retained Earnings	Total Equity
	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000	Rs. '000
Balance as at 1st April 2023	1,730,437	750,439	(184,393)	1,409,064	(426,661)	3,278,886
Issue of Shares	747,631	-	-	-	-	747,631
Net Profit for the Period	-	-	-	-	262,413	262,413
Other Comprehensive Income for the Period	-	-	(390)	-	-	(390)
Gain/(Loss) on Change in Fair Value of Biological Assets	-	-	-	67,028	(67,028)	-
Balance as at 31st December 2023	2,478,068	750,439	(184,783)	1,476,092	(231,276)	4,288,540
Balance as at 1st April 2024	2,478,068	723,776	(184,393)	1,699,717	(544,308)	4,172,860
Net Profit for the Period	-	-	-	-	939,515	939,515
Other Comprehensive Income for the Period	-	-	3,510	-	-	3,510
Gain/(Loss) on Change in Fair Value of Biological Assets	-	-	-	45,701	(45,701)	-
Dividend Paid	-	-	-	-	(497,500)	(497,500)
Balance as at 31st December 2024	2,478,068	723,776	(180,883)	1,745,418	(147,993)	4,618,385

AGARAPATANA PLANTATIONS PLC
STATEMENT OF CASH FLOWS

For the Period ended 31st December	Group		Company	
	2024	2023	2024	2023
	Rs. '000	Rs. '000	Rs. '000	Rs. '000
OPERATING ACTIVITIES				
Profit before Income Tax Expense	959,690	265,020	925,513	252,994
Adjustments for :				
Interest Income	(105,855)	(75,581)	(105,855)	(75,581)
Interest Expense	117,656	227,316	112,834	211,428
Retiring Benefit Obligations - Provision	281,241	256,570	281,241	256,570
Depreciation	166,165	143,181	155,966	132,821
(Gain)/Loss on Fair Valuation of Biological Assets	(45,701)	(67,028)	(45,701)	(67,028)
Amortization of Right to Use Asset	-	-	-	-
Amortization of Grants	(6,000)	(5,661)	(6,000)	(5,500)
Profit on Sale of Valuable Timber Sales	(11,111)	(37,634)	(11,111)	(37,634)
Operating Profit before Working Capital Changes	1,356,085	706,183	1,306,887	668,070
(Increase)/ Decrease in Inventories	(211,679)	131,394	(211,679)	131,394
(Increase)/ Decrease in Trade & Other Receivables	185,165	186,246	194,653	165,145
(Increase)/ Decrease in Amounts Due from Related Companies	79,792	(328,355)	79,792	(328,355)
Increase/ (Decrease) in Trade & Other Payables	1,061	(82,946)	1,022	(82,786)
Increase/ (Decrease) in Amounts Due to Related Companies	(7,055)	(473)	(4,057)	(1,223)
Cash Generated from / (used in) Operations	1,403,369	612,049	1,366,618	552,245
Retiring Benefit Obligations -Payments	(542,998)	(75,968)	(542,998)	(75,968)
Interest Received	105,855	75,581	105,855	75,581
Interest Paid	(125,656)	(245,316)	(120,834)	(229,428)
Taxes Paid	(195,944)	(15,537)	(185,330)	(14,865)
Net Cash from / (used in) Operating Activities	644,626	350,809	623,311	307,565
INVESTING ACTIVITIES				
Investment in Field Development	(12,272)	(23,705)	(12,272)	(23,705)
Investment in Timber	(7,766)	(4,646)	(7,766)	(4,646)
Purchase of Property, Plant & Equipment	(96,402)	(145,546)	(96,402)	(145,546)
Proceeds from Sale of Valuable Timber Trees	13,500	39,851	13,500	39,851
Net Cash from/(used in) Investing Activities	(102,940)	(134,046)	(102,940)	(134,046)
FINANCING ACTIVITIES				
Proceeds from issue of shares	-	747,631	-	747,631
Proceeds from Term Loans	689,061	662,981	689,061	661,201
Repayment of Term Loans	(877,966)	(896,801)	(849,326)	(866,617)
Dividend Paid	(497,500)	-	(500,000)	-
Net Cash from / (used in) Financing Activities	(686,405)	(233,820)	(660,265)	542,215
Net Increase/ (Decrease) in Cash and Cash Equivalents	(144,719)	(17,057)	(139,894)	715,734
Cash and Cash Equivalents at the beginning of the Period	567,101	(141,231)	557,121	(129,578)
Cash and Cash Equivalents at the end of the Period	422,382	(158,288)	417,227	586,156

AGARAPATANA PLANTATIONS PLC
NOTES TO THE FINANCIAL STATEMENTS

<u>Segmental Information</u>	For the Period ended	
	Group	
	31/12/2024	31/12/2023
	Rs.'000	Rs.'000
Revenue		
Tea	5,577,147	5,373,569
Hydropower	55,806	47,850
	5,632,953	5,421,419
Gross Profit		
Tea	1,132,541	527,182
Hydropower	34,959	32,644
	1,167,500	559,826
Net Finance Cost		
Tea	(6,979)	(135,847)
Hydropower	(4,277)	(15,352)
	(11,256)	(151,199)
Profit Before Tax		
Tea	925,513	252,994
Hydropower	34,177	12,026
	959,690	265,020
Tax Expense		
Tea	-	2,607
Hydropower	20,174	-
	20,174	2,607
Profit after Tax		
Tea	925,513	250,387
Hydropower	14,002	12,026
	939,515	262,413

AGARAPATANA PLANTATIONS PLC

Notes to the Financial Statements

- 1 The Interim Financial Statements have been prepared in accordance with the accounting policies set out in the audited financial statements for the year ended 31st March 2024 and also in compliance with Sri Lanka Accounting Standard LKAS 34 - Interim Financial Reporting.
- 2 The presentation and classification of the financial statements of the previous period have been amended, where relevant, for better presentation and to be comparable with those of the current period.
- 3 The Secretary to the Ministry of Labour and Foreign Employment issued a notice, by the Extraordinary Gazette No. 2401/24 dated 12th September 2024, raising the minimum daily wage for time work in the Tea growing and Manufacturing Trade from Rs. 1,000/- to Rs. 1,350/-, effective from 10th September 2024. Consequently, the management has estimated the increased liability on the retirement benefit obligation as at 31st December 2024, with the actuarial valuation adjustments to be reflected at the end of the financial year.
- 4 No provision is made in respect of income tax due to availability of brought forward tax losses. Deferred tax adjustment will be provided at the year end.
- 5 Subsequent to the reporting period, no circumstances have arisen that would require adjustments to or disclosures in the financial statements.
- 6 There has been no significant change in the nature of the contingent liabilities which were disclosed in the audited financial statements for the year ended 31st March 2024.
- 7 The figures in the financial statements are provisional and are subject to audit.

8 Stated Capital

The Stated Capital of the Company is Rs 2,478,067,694/- represented by 500,000,000 Ordinary Shares.

9 Director's direct shareholdings as at 31st December 2024

<u>Name of the Director</u>	<u>No of Shares</u>
Mr. C.P.R. Perera	380,900
Mr. S.S. Poholiyadde	2,000,000
Mr. D.R. Madena	28,000
Mr. G.K.B. Dasanayaka	45,400
Mr. K. M.M. Kowdu	285,000
Mr. A.M. de.S. Jayaratne	200,000

10 Public Holding

The percentage of shares held by the public as at 31st December 2024 was 33.95%.

11 Public Shareholders

The number of Public Shareholders as at 31st December 2024 were 23,963.

- 12 The applicable option under Colombo Stock Exchange Rule 7.13.1(i)(b) on Minimum Public Holding is Option 1 and the Float Adjusted Market Capitalization as at 31.12.2024 was Rs. 1,833,300,000/-.

13 Market Price Per Share

for the Quarter ended	31.12.2024	31.12.2023
	Rs.	Rs.
Highest Price	11.40	9.20
Lowest Price	7.60	7.40
Last Traded Price	10.80	7.70

14 Initial Public Offering (IPO)

The Initial Public Offering of the Company for 83,070,111 Ordinary Voting Shares at Rs. 9/- per share opened on 10th August 2023 and the Issue having been oversubscribed closed on the same day. The Company was listed on the Diri Savi Board of the Colombo Stock Exchange on 04th September 2023.

The utilisation of IPO Proceeds as at 31st December 2024 is as follows.

Objective No.	Objective as per Prospectus	Amount allocated as per Prospectus LKR	Proposed Date of Utilization as Per Prospectus	Amount allocated upon the receipt of proceeds in LKR	As a % of total proceeds	Amount Utilized in the Objective - LKR	% of utilised against allocation (B)	Clarification if not fully utilised including where the funds are invested
1	Purchase of modern equipment to develop APL factories to "State of the Art - Processing Centers"	672,630,999	FY 2023/24 – FY 2024/25	672,630,999	90%	29,439,750	4%	Funds are invested in Fixed Deposits
2	Settlement of high-cost term loans	75,000,000	FY 2023/24	75,000,000	10%	75,000,000	100%	N/A

AGARAPATANA PLANTATIONS PLC

Notes to the Financial Statements

15 The Twenty Major Shareholders as at 31.12.2024 were as follows;

	<i>Name of Shareholder</i>	<i>No. of Shares</i>	<i>%</i>
1	LANKEM DEVELOPMENTS PLC	281,228,778	56.25%
2	SAMPATH BANK PLC/SENTHILVERL HOLDINGS (PVT) LTD	55,564,298	11.11%
3	SECRETARY TO THE TREASURY	23,284,644	4.66%
4	SENTHILVERL HOLDINGS (PVT) LTD	17,138,847	3.43%
5	LANKEM TEA & RUBBER PLANTATIONS (PVT) LIMITED	7,295,345	1.46%
6	HATTON NATIONAL BANK PLC/SRI DHAMAN RAJENDRAM ARUDPRAGASAM	6,503,813	1.30%
7	THE COLOMBO FORT LAND AND BUILDING PLC	6,485,358	1.30%
8	CORPORATE MANAGERS & SECRETARIES (PVT) LTD	6,000,000	1.20%
9	C M HOLDINGS PLC	5,886,888	1.18%
10	UNION INVESTMENTS PRIVATE LTD	3,875,400	0.78%
11	COLOMBO FORT INVESTMENTS PLC	3,450,000	0.69%
12	MR. JESUDASAN PEREEMBARAJAH PAUL	3,302,455	0.66%
13	CORPORATE STRATEGIC SERVICES (PVT) LTD	3,114,600	0.62%
14	MR. WANNAKUWATTAWADUGE DON NIMAL HEMASIRI PERERA	2,694,751	0.54%
15	WAVERLY POWER (PVT) LTD	2,500,100	0.50%
16	COLOMBO INVESTMENT TRUST PLC	2,450,000	0.49%
17	MR. GONALAGODAGHE BUWANeka DINUWAN THILAKARATNE	2,035,403	0.41%
18	E.B. CREASY & COMPANY PLC	2,026,939	0.41%
19	MR. SUNIL SOMINDRANATH POHOLIYADDE	2,000,000	0.40%
20	LANKEM CEYLON PLC	1,760,204	0.35%
		438,597,823	87.72%